IN THE HIGH COURT OF THE UNITED REPUBLIC OF TANZANIA

IN THE SUB - REGISTRY OF DAR ES SALAAM

AT DAR ES SALAAM

CIVIL CASE NO. 160 OF 2020

SMART INDUSTRY LIMITED ....PLAINTIFF/COUNTERCLAIMANT

VERSUS

WASAFI LIMITED .... 1ST DEFENDANT

JOSEPH KUSAGA .... 2ND DEFENDANT

RULING

21st July & 18th August, 2023

KISANYA, J.:

The 1st defendant, Wasafi Limited instituted a suit against Smart Industry Limited (henceforth "the counterclaimant"). Her suit was based on breach of a tripartite agreement which was entered by her (1st defendant), the counterclaimant and Joseph Kusaga (2nd defendant) on 8th June, 2017. The 1st defendant's claim against the counterclaimant were, *inter alia*, for permanent injunction to continue manufacturing, branding and selling of the product; *two,* payment of specific damages amounting to Tanzania Shillings Two Billion Five Hundred Million (TZS 2,250,000,000/=) for breach of contract; and *three,* payment of general damages to the tune of Tanzanian shillings Five Hundred Million (TZS 500,000,000/=).

Upon being served with the 1st defendant's plaint, the counterclaimant filed a written statement of defence in which she raised a counterclaim against the 1st defendant (the plaintiff in the main case) and the 2nd defendant. The counterclaimant claimed for judgment, decree and orders against the 1st and 2nd defendants jointly and severally, as follows: -

(a) payment of a total United States Dollars Thirty Seven Thousand Two Hundred and Seven Only (USD 37,207.00), Tanzania Shillings One Billion, Four Hundred Forty Two Million, Three Hundred Ninety Thousand, Six Hundred and Forty Two Only (TZS 1,442,390,642/=) being specific damages outstanding under the terms of the Agreement; and

(b) payment of general damages for breach of the terms of the Agreement to assed (sic) by the Court, estimated at Tanzanian Shillings Three Billion (TZS 3,000,000,000/=); and

(c)payment of interest on the decretal sum at Court's rate from the date of judgment till full satisfaction of the entire decretal sum; and

(d) for costs of the suit; and

(e) for any other relief(s) the Court may deem fit to grant.

Apart from defaulting to enter appearance, the 2nd defendant failed to file his written statement of defence. In consequence, this Court ordered for the hearing to proceed *ex-parte* against him as provided for under Order VIII, Rule 14(1) of the Civil Procedure Code, Cap. 33, R.E 2019 (the CPC).

Before the final pre-trial and scheduling conference could commence, the counterclaimant and 1st defendant prayed for time within which to settle the matter out of court. This Court welcomed the prayer. The duo arrived into an amicable settlement. They executed a deed of settlement dated 31st October, 2022 and filed it on 8th November, 2022. On the next day, 9th November, 2022, this Court recorded the said deed of settlement under Order XXIII, Rule 3 of the CPC.

Basing on the terms of the deed of settlement, the main suit and counterclaim were marked settled between the 1st defendant (the plaintiff in the main case) and the counterclaimant (defendant in the main case). The following terms of the deed of settlement were recorded to form part of judgement and decree of this Court as between the counterclaimant and the 1st defendant:-

1. *That the two parties have reached a settlement consensually and without admission to liability.*
2. *That the Plaintiff agrees to withdraw her case in its entirety against the Defendant in full settlement of all claims under the suit. Moreover,* ***the Counterclaimant in the counter claim agree to withdraw the suit against the Plaintiff/1st Defendant to the counterclaim (Wasafi Limited) only in full settlement of all claims under this suit.***
3. *This settlement is full and final settlement of all claims, demands of the Parties and the terms of this settlement shall constitute a judgment and decree of the Court. In addition, any violation will face Execution consequences.*
4. *That the Parties agree that this Deed settles all matters pending between the Parties, and each party to bear its own costs. (Emphasize is supplied).*

Subsequent to the foregoing, the counterclaim proceeded *ex-parte* against the 2nd defendant.

For the purpose of a better understanding of what underlies the counterclaim and this ruling, the factual context is briefly as follows: On 3rd June, 2015, the counterclaimant was registered as the owner of the product known as "Diamond Karanga" with Reg. No. TAN 15 FD 0158, (henceforth "the product"). On 8th May, 2017, the counterclaimant entered into a tripartite agreement with the 1st and 2nd defendants for marketing and promotion of the product (henceforth "the agreement") across all the 1st and 2nd defendants' social media platforms, cable television and radio programming network owned by them for a period of 20 years but subject to review by the parties.

According the agreement, parties agreed, among others, that; *one,* the counterclaimant was responsible for manufacturing, supplying and delivering of the product to her consumer, while the defendants were responsible for marketing the product; *two,* in consideration to the agreement, the counterclaimant agreed to pay commission of TZS 1,650/= and TZS 1,350/= of each sale of one sachet of the product to the 1st and 2nd defendants, respectively.

The counterclaimant claims to have paid the commission due to the 1st and 2nd defendants in total amount of TZS 269,150,950 and TZS 221,457,807 respectively, for the period commencing from July, 2017 to February, 2019. It is her contention that the defendants ignored, neglected and/or refused to perform their part of the obligation to market and promote the product as agreed to in the agreement. According to the counterclaimant, the defendants only marketed and promoted the product for the months of July, August and September, 2017 and January, 2018. It is further contended that, by reasons of the failure of the defendants to perform their part of the agreement, the counterclaimant suffered loss of earnings by virtue of total costs incurred *vis-a-vis* the total sale made for the years 2018 to 2019; specific damages; and general damages. Consequently, the counterclaimant sued both defendants for the above stated reliefs.

As stated earlier, the counterclaimant withdrew the suit against the 1st defendant to the counter-claim only and thus, the matter proceeded *ex-parte* against the 2nd defendant. In the course of hearing the suit against the 2nd defendant, the issues recorded for determination by this Court were; *first,* whether the counterclaimant and the defendants to the counterclaim entered into a tripartite agreement*; second,* whether the second defendant to the counterclaim breached the tripartite agreement*; third,* to what reliefs are the parties entitled to*.*

In order to prove her case against the 2nd defendant, the counterclaimant called one witness, namely, Hassan Fayad (PW1), who introduced himself as the shareholder and director of Smart Industry Limited. His evidence was adduced by way of witness statement and was supported by a total number of 14 exhibits (Exhibits P1 to P14).

After closure of the counterclaimant's case, her counsel filed the closing final submissions. For the reasons to be apparent later, I find no need of summarizing the counterclaimant's evidence and the final closing submissions.

In the course of composing the judgment, I noticed that in terms of the deed of settlement, the counterclaimant withdrew the suit against the 1st defendant in full settlement of all claims under this suit. Considering further that the reliefs for special and general damages were against both defendants, jointly and severally, I wanted to satisfy myself on whether the suit could proceed against the 2nd defendant without amending the counter-claim or filing a separate suit against the 2nd defendant. In that regard, the counterclaimant's counsel was recalled to address this Court on the said issue.

On the date scheduled for hearing of the issue raised by the Court, Dr. Alexander Nguluma, assisted by Ms. Norah Marah, both learned advocates represented the counterclaimant. The 2nd defendant enjoyed the legal services of Dr. Aloys Rugazia, also learned advocate, however, he had no right of audience as the matter proceeded ex-parte against the 2nd defendant.

Responding to the issue raised by the Court, Dr. Nguluma submitted that the claims by the counterclaimant were against the 1st and 2nd defendants jointly and severally. He argued that in the event the case is decided in favour of the counterclaimant, the defendants will be jointly and severally liable for the damages suffered by the plaintiff. He was of the view that, this being a counterclaim, it cannot be withdrawn, more so, because the court had ordered for the hearing to proceed *ex-parte*. The learned counsel urged this Court to make its decision basing on the evidence adduced by the counterclaimant. In alternative, he prayed for leave to amend the counterclaim in order to substantiate the counterclaimant's claims against the 2nd defendant only.

From the above submission, I wish to restate at the outset that, the reliefs prayed for by the counterclaimant were against the defendants jointly and severally. According to **Black's Law Dictionary**, 8th Edition at page 933, the term "joint and several liability" is defined to mean:

> "*Liability that may be apportioned either among two or more parties or few selected members of the group, at the adversary discretion. Thus, each liable party is individually responsible for the entire*

obligation, but a paying party may have a right of contribution and indemnity from non-paying parties."

Flowing from the above definition, it is clear that joint or several liability arises where two or more persons are found liable for damages. Further, if the case is resolved in favour of the plaintiff, he is at liberty to collect or execute the entire decretal sum from one of the parties or both or all parties. However, a party who pays the decretal sum is entitled to recover from the other party or parties.

On the foregoing, the counterclaimant allotted her claims against both defendants. Thus, I entirely agree with Dr. Nguluma that, the 1st and 2nd defendants are liable for the reliefs claimed in the counterclaim. However, clause 2 of the deed of settlement which was recorded to form part of the decree of this Court shows that the counterclaimant withdrew the suit against the 1st Defendant only but in full settlement of all claims in this suit. This implies that the first and second defendants ceased to be jointly and severally liable to the reliefs sought in the counterclaim. Yet, the plaintiff through PW1 has prayed for the damages which were also against the 1st defendant while the claims against her (1st defendant) were marked withdrawn in settlement of all claims under this suit. In that respect and being guided by the provision of Order VIII, Rule 12 of the CPC, I am of the view that the counterclaim against the 2nd defendant may be conveniently disposed of by a separate suit instead of making an order of amending the counterclaim as prayed by Dr. Nguluma.

In the upshot of the above reasons, I hereby strike out the counterclaim under Order VIII, Rule 12 of the CPC. The counterclaimant is at liberty to file a separate suit against the 2nd defendant in accordance with the law. Considering the circumstances of this case, I make no order as to costs.

It is so ordered.

Dated this 18th day of August, 2023.

S.E. KISANYA
JUDGE
18/08/2023

Court: Ruling delivered through video conference this 18th day of August, 2023 in the presence of Ms. Norah Marah, learned advocate for the counterclaimant and Dr. Aloys Rugazia, learned advocate for the 2nd defendant.

Right of appeal explained.

S.E. KISANYA
JUDGE
18/08/2023